Revision Date:
October 1, 2026

Background:
The Affordable Care Act (ACA) of 2010 introduced Modified Adjusted Gross Income (MAGI) methodology-based Medi-Cal which uses federal tax filing rules.

Purpose:
This section provides guidance on how income is addressed under MAGI regulations. The section was updated to replace references to Projected Annual Income (PAI) with System Calculated Annual Income (SCAI). California Healthcare Enrollment, Eligibility and Retention System (CalHEERS) functionality information for the Reasonably Projected Annual Income (RPAI) budget period has been incorporated.

Policy:
A. Countable Income
MAGI Medi-Cal follows Internal Revenue Services (IRS) tax rules when determining treatment of income. MAGI income methodology requires the use of Adjusted Gross Income (AGI), which is federal taxable income minus any allowable deductions, for eligibility determinations.

Refer to Medi-Cal Desk Aid 56 MAGI Income and Deduction Types to determine applicable and exempt income types.

In addition to federal taxable income, the following income types are also included as countable income for MAGI Medi-Cal:

- Non-taxable Title II Social Security Administration (SSA) benefits not included in the gross income, such as Retirement, Survivors and Disability (RSDI) benefits.
- Tax-exempt interest.
- Foreign earned income and housing expenses for Americans living abroad.
- Lump sum income (non-recurring) is counted only in the month of receipt and calculated as part of the individual's annual income.

Some income types such as scholarships, awards, education-based fellowship grants, and certain American Indian/Alaska Native (AI/AN) income may be taxable but are excluded from MAGI.

B. Deductions
The same deductions used when filing taxes to reduce overall taxable income to determine the AGI on the 1040 tax form are applied. This means that certain pre-tax deductions are subtracted from the gross income by an employer or other income source outside of the MAGI determination.

Refer to Medi-Cal Desk Aid 56 MAGI Income and Deduction Types to determine allowable deductions.

C. Whose Income Counts
Eligibility for MAGI Medi-Cal is determined at an individual level. The tax household composition identifies who should be considered part of an individual's MAGI household to determine whose income

counts. The sum of the individual's countable MAGI income, and the countable income of all other persons in their MAGI household must be included.

The following rules apply when determining whose income counts and is based on self-attestation from the tax household:

If the individual is…	then the countable income is…
an adult in the tax household that is **not** claimed as a tax dependent,	the MAGI-based income of the individual only.
an adult in a tax household that is claimed as a tax dependent,	the MAGI-based income of the adult tax dependent when at least one of the following apply: – The tax filer who claims the adult is not included in the household composition under evaluation. – The adult tax dependent is expected to be required to file a tax return. The MAGI-based income of the adult tax dependent is **not** counted when the tax filer who claims them is included in their household composition and is not expected to file taxes.
a child in the household (under the age of 19 or under the of age 21, if they are a full-time student).	the MAGI-based income of the child when one of the following applies: – The tax filer who is claiming the child is someone other than a parent and the child's parent (natural, adopted, or step) is not included in the child's household composition. – The child is expected to be required to file a tax return. The MAGI-based income is **not** counted for a child when the parent(s) who are included in the household composition, and the child is not expected to be required to file taxes.

Note: Members of the same family may have different MAGI household compositions, and the income of a child or tax dependent may count for one household member but not another.

D. Obtaining Household Income

Customers can report their household income or any changes to the county by phone, in person, by mail, online via BenefitsCal or the Covered California website. They can also use any form such as the Single Streamlined Application (SSApp), SAWS2Plus, the Renewal (RE) form, or written attestation. Reported income must be verified prior to determining eligibility.

E. Verifications

When evaluating MAGI eligibility, electronic verification of self-attested income must be attempted to determine if the income is reasonably compatible prior to requesting documents from the customer. To determine reasonable compatibility, CalHEERS compares the individual's self-attested MAGI household income to information received from the Federal Data Service Hub (FDSH). CalHEERS identifies income that passes the reasonable compatibility rules as electronically verified (e-verified). CalHEERS evaluates the data returned from the following four sources:

- IRS.
- Franchise Tax Board (FTB).
- Employment Development Department (EDD).
- SSA.

An individual's MAGI household income is reasonably compatible when both self-attested income and information from the FDSH are below the MAGI income limit for the household size. If the self-attested income is over the MAGI income limit, the income will not be checked for reasonable compatibility through the FDSH but will be used to determine eligibility for other Insurance Affordability Programs (IAPs) through Covered California.

Since e-verification for MAGI Medi-Cal is determined on an individual level, the income of some household members may be reasonably compatible while others may not. In cases where verification status does not automatically transfer to other household members, manual verification may be needed for those members whose income is not reasonably compatible.

Note: Reasonable compatibility of income does not apply to Former Foster Youth (FFY) as they do not have an income eligibility requirement.

F. Manual Verification

When self-attested income is not e-verified and a reasonable explanation does not clarify income discrepancies, manual verification is required. Verification of income may include, but is not limited to:

- Paystubs.
- Letters from employers.
- Tax statements.

When an individual household member fails to provide verification and their income cannot be verified, the individual must be denied or discontinued.

G. Verification of No Income

When an individual reports zero income or self-attests that they no longer receive income and the report is not reasonably compatible with the FDSH, additional verification is required. This also applies to Non-MAGI individuals who are included in the household composition.

H. Verifying Income with a Sworn Statement

When all attempts to verify self-attested income are exhausted, eligibility staff may obtain a sworn statement from the individual as verification of income. The signed statement must include the following information:

- The name of the individual whose income is being verified.

- The income details such as the gross amount, frequency of pay, and source of income.
- A signature with a penalty of perjury statement.
- The date that the statement was signed.

An affidavit may also be signed by:
- A parent or caretaker relative for a child.
- An individual with power of attorney for another individual.
- A spouse or Registered Domestic Partner (RDP).
- An Authorized Representative (AR), if they have been authorized to do so.

Note: The affidavit is only valid for 90 days from the signature date.

I. Income Budget Periods

There are three different budget periods that may be used when determining MAGI eligibility. Eligibility staff must use the budget period with the lowest income calculation as it is the most beneficial for the household.

Current Monthly Income (CMI)

The CMI is the amount of income a customer expects to receive in the month of evaluation. It is the default budget period when determining MAGI eligibility and is used when a customer does not provide enough income information to use a different budget period that may be more beneficial.

Reasonably Projected Annual Income (RPAI)

The RPAI is the total amount of income that a customer expects to receive in a 12-month period, beginning with the month of application, annual renewal, or reported Change in Circumstances (CIC). The RPAI budget period is an option for households with fluctuating income whose CMI exceeds the MAGI income limit.

When a customer reports fluctuating income to the county, eligibility staff must determine if the income meets RPAI criteria by obtaining enough information to answer the following questions:
- What reasonably predictable future changes in income will occur during the next 12 months?
- Why will the change in income occur (i.e. seasonal work, job loss, new employment)?
- Does the individual have other reasonably predictable income changes that will occur in the next 12 months?

Verification of RPAI is required if the self-attested income information is not reasonably compatible with the FDSH. Some methods to verify fluctuating income include:
- A signed contract for employment.
- Clear proof of a history of predictable fluctuations in income.
- Prior year's tax return.
- Other clear documentation of predicted future changes in income (such as the remaining balance of unemployment benefits).
- A reasonable explanation.
- A sworn statement, as a last resort.

Eligibility staff must document all verification used in detail when using the RPAI budget period.

Anticipated income changes are entered in the California Statewide Automated Welfare System (CalSAWS) to compare the customer's CMI and RPAI budget periods. CalSAWS will use whichever budget period has the lowest monthly income amount.

System Calculated Annual Income (SCAI)
The SCAI budget period is used for current beneficiaries whose income exceeds the CMI limit but their total income over the calendar year (from January 1 to December 31 of the year reported) is under the MAGI income limit. SCAI is only used when all of the following conditions apply:

- The individual's income does not fluctuate.
- The individual's CMI **and** RPAI are over the MAGI income limit.
- The individual's SCAI amount is under the MAGI income limit.

The annual renewal date will not change when the SCAI budget is used. The individual must have a redetermination before the end of the calendar year in which SCAI is applied. CalSAWS will initiate the annual SCAI renewal process by transmitting a batch job to CalHEERS in December to evaluate eligibility for the following year.

Soft Pause and Consumer Protection Programs (CPPs)
The SCAI budget period does not affect CPPs and cases that are in Soft Pause. If the customer no longer qualifies for MAGI at the mandatory end of the year SCAI redetermination but is protected under any CPP, they must remain enrolled until the CPP period has ended. If a customer is over the income limit for MAGI and is not eligible under a CPP, they remain in Soft Pause until they are evaluated for all Medi-Cal programs and referred to Covered California before they are discontinued. For more information on Soft Pause and CPPs, refer to Medi-Cal Program Guide (MPG) 04.15.05A and 04.15.02I.

J. Reasonably Compatible Income for Budget Periods
Reasonable compatibility is also determined on an individual level using the household's income and may be different for all three budget periods. When an individual's income is reasonably compatible for themselves or another household member for at least one of the budget periods, no further verification of income is required. If reasonable compatibility cannot be established for any budget period that their income applies to, a request for reasonable explanation or manual verification must be made.

K. Retroactive Determinations
The CMI and RPAI budget periods may be used to determine retroactive eligibility. SCAI methodology cannot be used when an individual requests retroactive eligibility prior to the month of application as they are considered applicants.

L. Advanced Premium Tax Credit (APTC) and the Bounce Back Rule
Household composition and countable income rules differ between MAGI and APTC. For APTC, only the income of the taxpayer and individuals in their tax filing household who are required to file a tax return, including dependents, is included in the budget calculation.
Since federal regulations require that an individual's annual income is above 100% of the Federal Poverty Level (FPL) to qualify for APTC, a gap in coverage may exist when their income is over the

MAGI limit. Exception rule 435.603(i), also known as the bounce back rule is applied to bridge the gap in coverage.

When the Business Rule Engine (BRE) is called to evaluate a household for APTC, the Determination of Eligibility Response (DER) will apply the bounce back rule and return with a "MAGI Eligible" status if:

- The household countable income is above the income limit for the corresponding MAGI coverage group (i.e.138% FPL for the adult group, or 266% FPL for a child) and;
- The individual's countable annual income is below 100% of the FPL.

The bounce back rule **does not** apply to individuals who:

- Have other minimum essential coverage.
- Do not plan on filing a tax return.
- Are eligible for other public health coverage such as Medicare.
- Are married but not filing taxes as Married Filing Jointly.
- Do not have Satisfactory Immigration Status (SIS).

The tables below provide examples:

Example 1 - Bounce Back Rules Apply - Unmarried couple with mutual child, all living together
Mom and Dad file taxes separately; Mom claims their child as a tax dependent: • Dad's income exceeds the 266% FPL limit and is eligible to APTC. • Mom's income is at 85% of the FPL and is eligible to MAGI. • In determining the child's MAGI tax household composition, the countable income exceeds 266% of the FPL with both parent's income counting in the budget. When MAGI is requested and the DER is received, the child is "bounced back" with the status of MAGI Eligible, because Mom's income is below 100% of the FPL.

Example 2 - Bounce Back Rule Does Not Apply - Unmarried Couple, with 3 common children, all living together. Dad does not have SIS.
Mom and Dad file taxes separately; Mom claims children as tax dependents: • Dad's income exceeds the 266% FPL limit.   ○ He is ineligible for APTC because he does not have SIS. • Mom's income is at 166% of the FPL exceeding the MAGI limit and is referred to APTC. The children's countable income exceeds the MAGI limits for their age-appropriate program with both parents' income counting making them ineligible for MAGI and they are referred to APTC. Since mom claims the children and her income exceeds the 100% FPL limit, the children and mom will be evaluated for APTC coverage and will not be bounced back.

Program Impacts:

Automation

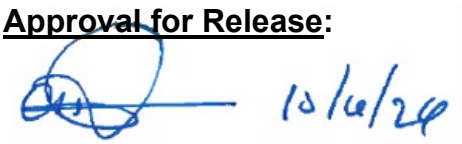
Staff must complete all appropriate fields in CalSAWS to establish the correct level of benefits.

References:
All County Welfare Directors Letters (ACWDLs) 20-10, 21-04, 25-21
Medi-Cal Eligibility Division Information Letters (MEDILs) I 26-10, I 26-11

Resources:
MC Desk Aid 55 MAGI Medi-Cal Budget Periods Flowchart
MC Desk Aid 56 MAGI Income and Deduction Types
MC Desk Aid 67 Determining Household Composition
MC Desk Aid 68 MAGI HH Composition Examples
MC Desk Aid 70 MAGI Individual Household Flow Chart
MC Desk Aid 71 Whose Income Counts for MAGI

Sunset Date:
This policy will be reviewed for continuance on or by September 30, 2029.

Approval for Release:



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Self-Sufficiency Services